

Particulars	Strike Price	Price
Sell Nifty call	25,100	₹20
Sell Nifty put	24,900	₹40
Buy Nifty call	25,250	₹7
Buy Nifty put	24,750	₹12

The margin required is ₹1,00,000.
Let us calculate your costs and rewards.

Net premium received = ₹20 + ₹40 - ₹7 - ₹12 = ₹41
Reward = 150 - 41 = ₹109
Break-even point (Upper bound) = 25,100 + 41 = 25,141
Break-even point (Lower bound) = 24,900 - 41 = 24,859

Let us explore different scenarios.

Particulars	Nifty at 25,000	Nifty above 25,141	Nifty below 24,859
Outcome of selling Nifty 25,100 call	Premium of ₹20 captured	Loss = Nifty - 25,100 - ₹20	Premium of ₹20 captured
Outcome of selling Nifty 24,900 put	Premium of ₹40 captured	Premium of ₹40 captured	Loss = 24,900 - Nifty - ₹40
Outcome of buying Nifty 25,250 call	Premium of ₹7 lost	Outcome = Nifty - 25,250 - ₹7	Premium of ₹7 lost
Outcome of buying Nifty 24,750 put	Premium of ₹12 lost	Premium of ₹12 lost	Outcome = 24,750 - Nifty - ₹12
Net outcome	Gain of ₹41	Loss of ₹109	Loss of ₹109